REPORT ON TITLE

Project Indigo – Acquisition of Meridian Quarter, 18 Wellington Place, Leeds LS1 4DL

Prepared for: Halbrook Estates Limited and Pennine Business Bank plc (as funder)

Prepared by: Whitfield Carter LLP (Sarah Whitfield / James Osei). Date: 28 November 2025. Ref: SW/JO/INDIGO/WC-00195.

1. Executive summary

We have investigated the title to the freehold property known as Meridian Quarter, 18 Wellington Place, Leeds LS1 4DL, registered at HM Land Registry under title number WYK482176, which the Buyer (Halbrook Meridian Propco Limited, an SPV of Halbrook Estates) proposes to acquire from Tarncliffe Asset Holdings Limited for £14,250,000. Subject to the matters in this report, title is good and marketable and suitable for the Buyer's purposes and as security for the Bank, provided the Seller's registered charge in favour of Northbank plc is discharged on completion.

2. The Property and title

Title WYK482176 is registered with title absolute. The registered proprietor is Tarncliffe Asset Holdings Limited. The Property comprises a six-storey office building (approximately 41,250 sq ft net internal) with 28 basement car parking spaces. The property register notes the benefit of a deed of easement dated 14 May 2008 for service media across the adjoining plaza and is subject to the matters in the charges register summarised below.

3. Charges register

- A restrictive covenant deed dated 3 June 1968 limiting use to offices and ancillary purposes – not problematic for the proposed continued office investment use.
- A registered legal charge dated 9 March 2019 in favour of Northbank plc. The Seller's solicitors have confirmed this will be discharged on completion and a DS1 or solicitor's undertaking provided. This is a condition of our being able to certify clear title to the Bank.
- Two agreements with Leeds City Council relating to the public realm at Wellington Place (highways/service media) – standard for the location; no onerous payment obligations identified.

4. Tenancies

The Property is let under six occupational leases producing a total passing rent of £1,065,000 per annum, reflecting a net initial yield of approximately 7.0% on the purchase price after standard purchaser's costs. The weighted average unexpired term is 6.4 years to expiry (4.1 years to the Unit 5 tenant break). We have reviewed each lease and the principal points are: all leases are on effectively full repairing and insuring terms; Unit 3 (Penrose & Vale) has a rent review due 29 September 2026 that has been triggered but not agreed – the price has been negotiated on the basis of the current passing rent and no value has been attributed to a reversionary uplift; Unit 5 (Hartcliffe Media) has a tenant break on 25 March 2027; and a rent deposit of £28,500 is held for Unit 6, which will be assigned to the Buyer on completion.

5. Searches

Local authority, drainage and water, environmental and chancel repair searches have been received and reviewed. The local search reveals the property lies within the Wellington Place public realm scheme but discloses no adverse highway, planning enforcement or financial

charge entries. The environmental search returns a “passed” risk assessment. No search reveals any matter materially adverse to value or to the Bank’s security.

6. VAT

The Seller has opted to tax the Property. The sale is structured as a transfer of a going concern (TOGC); the Buyer must exercise and notify its own option to tax before completion and not revoke it, failing which VAT of £2,850,000 would become payable. The Buyer’s VAT registration and option are in hand and tracked on the completion checklist.

7. Recommendations and conditions to completion

1. Obtain the executed DS1 or an unconditional solicitor’s undertaking to discharge the Northbank plc charge before release of completion monies.
2. Ensure the Buyer’s option to tax is exercised and notified to HMRC before completion to preserve TOGC treatment.
3. Complete the Unit 6 rent deposit assignment and obtain authorities to the six tenants to pay future rents to the Buyer.
4. Confirm buildings insurance is in place from completion and the bank’s security and the certificate of title to the Bank are finalised.

Subject to the above, we are content to recommend that the Buyer proceeds to exchange and completion at the agreed price of £14,250,000.